JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Company Registration No. 202244513M)
(Incorporated in the Republic of Singapore)

AUDITED FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED
31 DECEMBER 2024

T&C
PARTNERS
CHARTERED ACCOUNTANTS

JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in the Republic of Singapore)

CORPORATE INFORMATION
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

Directors

Wei Wenyan
Lu Ying
Teo Eng Hock
Jin, Xianghua

Company Secretary

Yang Yujie

Registered Office

26B Serangoon Avenue 1
Singapore 556143

Independent Auditor

T&C Partners

Engagement partner: Chor Chung Heong

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JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT

The directors are pleased to present their statement to the member together with the audited financial statements of Jinhong Gas (Singapore) Investment Pte. Ltd. (the "Company") for the financial year ended 31 December 2024.

1. OPINION OF THE DIRECTORS

In the opinion of the directors,

(a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2024 and the financial performance, changes in equity and cash flows of the Company for the financial year then ended; and

(b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

2. DIRECTORS

The directors of the Company in office at the date of this statement are:

Wei Wenyan
Lu Ying
Teo Eng Hock
Jin, Xianghua (Appointed on 1 March 2024)

3. ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisitions of shares in, or debentures of, the Company or any other body corporate.

4. DIRECTORS' INTERESTS IN SHARES OR DEBENTURES

According to the register of directors' shareholdings kept by the Company under section 164 of the Singapore Companies Act 1967 (the Act), none of the director holding office at the end of the financial year had any interest in the shares or debentures of the Company or its related corporations.

5. SHARE OPTIONS

There were no options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

6. AUDITOR

T&C Partners has expressed its willingness to accept re-appointment as auditor.

On behalf of the Board of Directors

Wei Wenyan
Director

Lu Ying
Director

Singapore
30 JUN 2025

T&C PARTNERS
CHARTERED ACCOUNTANTS

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INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in Republic of Singapore)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Jinhong Gas (Singapore) Investment Pte. Ltd. (the "Company"), which comprise the statement of financial position as at 31 December 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements are properly drawn up in accordance with the provisions of the Companies Act 1967 (the Act) and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view of the financial position of the Company as at 31 December 2024 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Other Information

Management is responsible for the other information. The other information comprises the Directors' Statement set out on pages 1 to 2.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

T&C PARTNERS
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in the Republic of Singapore)

Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSs, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

T&C PARTNERS
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in the Republic of Singapore)

Auditor's Responsibilities for the Audit of the Financial Statements (cont'd)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

T&C Partners
Public Accountants and
Chartered Accountants

Singapore
30 June 2025

JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Note	1/1/2024 to 31/12/2024 US$	14/12/2022 (date of incorporation) to 31/12/2023 US$
Revenue	(4)	7,852,448	489,395
Cost of sales		(6,783,570)	(428,844)
Gross profit		1,068,878	60,551
Other income	(5)	694,573	18,868
Administrative and other expenses		(1,422,016)	(89,940)
Profit/(Loss) for the year	(6)	341,435	(10,521)
Income tax expense	(7)	(48)	(92)
Profit/(Loss) for the financial year/period, representing total comprehensive income/(loss) for the financial year/period		341,387	(10,613)

The accompanying notes form an integral part of these financial statements.

JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2024

	Note	2024 US$	2023 US$
ASSETS			
Non-current assets			
Plant and equipment	(8)	6,134,412	-
Investment in a subsidiary	(9)	4,080,000	4,080,000
Other assets	(14)	529,724	-
Loan to a subsidiary	(10)	1,502,121	-
Deferred tax assets	(11)	7,948	-
		12,254,205	4,080,000
Current assets			
Inventories	(12)	43,237	372,705
Trade receivables and contract assets	(13)	888,357	434,519
Other assets	(14)	9,607,892	10,643,555
Amount due from a related company	(15)	3,123,000	-
Cash at bank	(16)	3,614,611	1,499,782
		17,277,097	12,950,561
Total assets		29,531,302	17,030,561
EQUITY AND LIABILITIES			
Equity			
Share capital	(17)	20,080,000	11,100,000
Capital reserved	(18)	-	3,580,000
Retained earnings/(Accumulated loss)		330,774	(10,613)
Equity attributable to owner of the Company		20,410,774	14,669,387
Current liabilities			
Trade payables and contract liabilities	(19)	1,341,600	536,193
Other payables and accruals	(20)	5,464,442	625,689
Amount due to a related company	(21)	1,619,103	400,000
Amount due to ultimate holding company	(22)	687,313	-
Amount due to a subsidiary	(23)	-	799,200
Income tax liabilities		8,070	92
		9,120,528	2,361,174
Total liabilities		9,120,528	2,361,174
Total equity and liabilities		29,531,302	17,030,561

The accompanying notes form an integral part of these financial statements.

JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	Share capital US$	Capital reserved US$	(Accumulated losses)/ Retained earnings US$	Total US$
At 14 December 2022 (date of incorporation)	11,100,000	3,580,000	-	14,680,000
Loss for the financial period, representing total comprehensive loss for the financial period	-	-	(10,613)	(10,613)
At 31 December 2023	11,100,000	3,580,000	(10,613)	14,669,387
At 1 January 2024	11,100,000	3,580,000	(10,613)	14,669,387
Issue of shares (Note 17)	8,980,000	(3,580,000)	-	5,400,000
Profit for the financial year, representing total comprehensive income for the financial year	-	-	341,387	341,387
At 31 December 2024	20,080,000	-	330,774	20,410,774

The accompanying notes form an integral part of these financial statements.

JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

	1/1/2024 to 31/12/2024 US$	14/12/2022 (date of incorporation) to 31/12/2023 US$
CASH FLOWS FROM OPERATING ACTIVITIES		
Profit/(Loss) for the year	341,435	(10,521)
Adjustments for:		
Allowance for expected credit loss	35,444	11,312
Depreciation of plant and equipment	436,306	-
Interest income	(68,134)	(18,485)
Operating profit/(loss) before working capital change	745,051	(17,694)
Inventories	329,468	(372,705)
Trade receivables and contract assets	(489,282)	(445,831)
Other assets	505,939	(10,643,555)
Trade payables and contract liabilities	805,407	536,193
Other payables and accruals	4,838,753	625,689
Cash generated from/(used in) operations	6,735,336	(10,317,903)
Interest received	66,013	18,485
Tax paid	(18)	-
Net cash generated from/(used in) operating activities	6,801,331	(10,299,418)
CASH FLOWS FROM INVESTING ACTIVITIES		
Acquisition of plant and equipment (Note 8)	(6,570,718)	-
Investment in a subsidiary	-	(4,080,000)
Net cash used in investing activities	(6,570,718)	(4,080,000)
CASH FLOWS FROM FINANCING ACTIVITIES		
Issuance of shares	5,400,000	11,100,000
Capital reserved	-	3,580,000
Interest received	2,121	-
Amount due from a related company	(3,123,000)	-
Loan to a subsidiary	(1,502,121)	-
Amount due to a related company	1,219,103	400,000
Amount due to ultimate holding company	687,313	-
Amount due to a subsidiary	(799,200)	799,200
Net cash generated from financing activities	1,884,216	15,879,200
Net increase in cash and cash equivalents	2,114,829	1,499,782
Cash and cash equivalents at beginning of the financial year/period	1,499,782	-
Cash and cash equivalent at the end of financial year/period	3,614,611	1,499,782

Note: Cash and cash equivalents comprise cash at bank.

The accompanying notes form an integral part of these financial statements.

JINHONG GAS (SINGAPORE) INVESTMENT PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CASH FLOWS (CONT'D)
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

Reconciliation of liabilities arising from financing activities:

	1 January 2024	Additions	Financing cash flows	Non-cash movement Interest expenses	31 December 2024
	US$	US$	US$	US$	US$
Liabilities					
Amount due to a related company	400,000	-	1,219,103	-	1,619,103
Amount due to ultimate holding company	-	-	687,313	-	687,313
Amount due to a subsidiary	799,200	-	(799,200)	-	-
	1,199,200	-	1,107,216	-	2,306,416

	14 December 2022	Additions	Financing cash flows	Non-cash movement Interest expenses	31 December 2023
	US$	US$	US$	US$	US$
Liabilities					
Amount due to a related company	-	-	400,000	-	400,000
Amount due to a subsidiary	-	-	799,200	-	799,200
	-	-	1,199,200	-	1,199,200

The accompanying notes form an integral part of these financial statements.

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. CORPORATE INFORMATION

The Company is incorporated and domiciled in the Republic of Singapore with its registered office and principal place of business at 26B Serangoon Avenue 1, Singapore 556143 and 2 Venture Drive #06-09 Vision Exchange, Singapore 608526 respectively.

The principal activities of the Company are wholesale and trading of gas related business.

The immediate holding company is Suzhou Industrial Park Huanya Trading Co., Ltd., a company incorporated in China.

The ultimate holding company is Jinhong Gas Co., Ltd. a company incorporated in China.

2. MATERIAL ACCOUNTING POLICY INFORMATION

2.1 Basis of preparation

The financial statements of the Company have been drawn up in accordance with Financial Reporting Standards in Singapore (FRSs). The financial statements have been prepared on the historical cost basis except as disclosed in the accounting policies below.

The financial statements are presented in United States Dollars (US$), which is the Company's functional currency.

The financial statements of the Company have been prepared on the basis that it will continue to operate as going concern.

2.2 Adoption of new and amended standards and interpretations

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial period beginning on 1 January 2024. The adoption of these standards did not have any material effect on the financial statements of the Company.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.3 Standards issued but not yet effective

A number of new standards and amendments to standard that have been issued are not yet effective and have not been applied in preparing these financial statements.

Description	Effective for annual periods beginning on or after
Amendments to FRS 21 *The Effects of Changes in Foreign Exchange Rates:* Lack of Exchangeability	1 January 2025
Amendments to FRS 109 *Financial Instruments* and FRS 107 *Financial Instrument: Disclosures*: Amendments to the Classification and Measurement of Financial Instruments	1 January 2026
Annual Improvement to FRSs Volume 11	1 January 2026
FRS 118 *Presentation and Disclosure of Financial Statements*	1 January 2027
FRS 119 *Subsidiaries without Public Accountability: Disclosures*	1 January 2027
Amendments to FRS 110 *Consolidated Financial Statements* and FRS 28 *Investments in Associates and Joint Ventures*: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Date to be determined

The directors expect that the adoption of these new and amended standards will have no material impact on the financial statements in the year on initial application.

2.4 Consolidated financial statement and holding company

Consolidated financial statements have not been prepared to consolidate the financial statements of its subsidiary as the Company is a wholly-owned subsidiary of Jinhong Gas Co., Ltd., which is incorporated in People's Republic of China, prepares the consolidated financial statements. The consolidated financial statement can be obtained from Anmin Road, Panyang Industrial Park, Huangdai Town, Xiangcheng District, Suzhou City.

The Company regard Jinhong Gas Co., Ltd. to be its ultimate holding company. The holding company is incorporated in the People's Republic of China.

Subsidiary are entities controlled by the Company. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

In the Company's financial statements, investments in subsidiary are carried at cost less accumulated impairment losses.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.5 Foreign currency transaction and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.6 Revenue recogniation

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

Revenue from sales of gas related products and materials

Revenue from sales of goods is recognised at a point in time when the goods are delivered to the customer and all criteria for acceptance have been satisfied.

Helium tanks inspection service

Revenue from helium tank inspection service is recognised when the services are rendered at a point in time.

Interest income

Interest income is recognised on a time-apportioned basis using effective interest method.

2.7 Taxes

(a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the end of the reporting period.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.7 Taxes (cont'd)

(a) Current income tax (cont'd)

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

(b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

2.8 Plant and equipment

All items of plant and equipment are initially recorded at cost. Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses, if any. The cost of plant and equipment includes its purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Dismantlement, removal or restoration costs are included as part of the cost of plant and equipment if the obligation for dismantlement, removal or restoration is incurred as a consequence of acquiring or using the plant and equipment.

Depreciation of an asset commences when the asset is available for use. Depreciation is calculated on a straight-line basis over the estimated useful lives of the asset as follows:

	Useful lives
Helium tanks	10 years

No depreciation is charged for helium tanks work-in-progress.

The residual value, useful lives and depreciation method are reviewed at the end of each reporting period, and adjusted prospectively, if appropriate.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.8 Plant and equipment (cont'd)

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on de-recognition of the asset is included in profit or loss in the year the asset is derecognised.

2.9 Inventories

Inventories are stated at the lower of cost and net realisable value. Cost is calculated using the first-in first-out method and comprises all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. Net realisable value is the estimated selling price in the ordinary course of business, less estimated costs necessary to make the sale.

When necessary, allowance is provided for damaged, obsolete and slow-moving items to adjust the carrying value of inventories to the lower of cost and net realisable value.

2.10 Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

As lessor

Leases in which the Company does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising from operating leases on the Company's leased assets is accounted for on a straight-line basis over the lease terms. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

2.11 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, (or, where applicable, when an annual impairment testing for an asset is required), the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.11 Impairment of non-financial assets (cont'd)

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

2.12 Financial instruments

(a) Financial assets

Initial recognition and measurement

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at Fair Value through Profit and Loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

Subsequent measurement

Debt instruments

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the assets. The three measurement catogeries for classification of debt instruments are amortised cost, Fair Value through Other Comprehensive Income (FVOCI) and FVPL. The Company only has debt instruments at amortised cost.

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through the amortisation process.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.12 Financial instruments (cont'd)

(a) Financial assets (cont'd)

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

(b) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at FVPL, directly attributable transaction costs.

Subsequent measurement

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

2.13 Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.13 Impairment of financial assets (cont'd)

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment which could affect debtors' ability to pay.

The Company considers a financial asset in default when contractual payments are 60 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2.14 Cash and cash equivalents

Cash and cash equivalents comprise cash at banks which are subject to an insignificant risk of changes in value. These also include bank overdrafts that form an integral part of the Company's cash management.

2.15 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

2.16 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

2.17 Employee benefits

(a) Defined contribution plans

The Company makes contributions to the Central Provident Fund scheme in Singapore, a defined contribution pension scheme. Contributions to defined contribution pension schemes are recognised as an expense in the period in which the related service is performed.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.17 Employee benefits (cont'd)

(b) Short-term employee benefits

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee, and the obligation can be estimated reliably.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgements made in applying accounting policies

(a) Determination of functional currency

In determining the functional currency of the Company, judgement is used by the Company to determine the currency of the primary economic environment in which the Company operates. Consideration factors include the currency that mainly influences sales prices of goods and services and the currency of the country whose competitive forces and regulations mainly determines the sales prices of its goods and services.

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

(a) Inventory valuation method

Inventory write-down is made based on the current market conditions, historical experience and selling goods of similar nature. It could change significantly as a result of changes in market conditions. A review is made periodically on inventories for excess inventories, obsolescence and declines in net realisable value and an allowance is recorded against the inventory balances for any such declines. The realisable value represents the best estimate of the recoverable amount and is based on the most reliable evidence available and inherently involves estimates regarding the future expected realisable value.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES (CONT'D)

3.2 Key sources of estimation uncertainty (cont'd)

(a) Inventory valuation method (cont'd)

The carrying amount of the Company's inventories as at 31 December 2024 are US$43,237 (2023: US$372,705). If the future expected realisable value lower by 10% of its carrying amount, the carrying amount of the Company's inventories would have been US$4,324 (2023: US$37,271) lower.

(b) Provision for expected credit losses of trade receivables and contract assets

The Company uses a provision matrix to calculate ECLs for trade receivables and contract assets. The provision rates are based on days past due for groupings of various customers segments that have similar loss patterns.

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At every reporting date, historical default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customer's actual default in the future. The information about the ECLs on the Company's trade receivables and contract assets are disclosed in Note 25(a).

The carrying amount of trade receivables and contract assets was disclosed in Note 13 to the financial statements.

(c) Useful lives of plant and equipment

The cost of plant and equipment are depreciated on a straight-line basis over their respective useful lives. Management estimates the useful lives of these plant and equipment to be 10 years.

Changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets. Therefore, future depreciation charges could be revised and impacts the profit in future years.

The carrying amount of plant and equipment was disclosed in Note 8 to the financial statements.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES (CONT'D)

3.2 Key sources of estimation uncertainty (cont'd)

(d) Impairment of plant and equipment

The Company follows the guidance of FRS 36 – Impairment of Assets in determining when a non-financial asset is impaired in respect of its plant and equipment. This assessment requires significant judgement. The Company evaluates, among other factors, the duration and extent to which fair value of the asset is less than its cost, and the financial health of and near-term business outlook of the asset, including factors such as industry, sector performance and operational and financing cash flow.

(e) Impairment of investment in a subsidiary

The management follows the guidance of FRS 36 – Impairment of Assets, in determining whether investment in a subsidiary is impaired requires assumption to be made regarding the duration and extent to which the fair value of an investment is less than costs and the financial health of and near-term business outlook for the investment, including factors such as industry and sector performance, changes in technology and operational and financing cash flow.

Management's assessment for impairment of investment in a subsidiary is based on the estimation of value in use of the cash generating unit ('CGU") by forecasting the expected future cash flows, using a suitable discount rate in order to calculate the present value of those cash flows.

The carrying amount of the Company's investment in a subsidiary as at 31 December 2024 was disclosed in Note 9 to the financial statements.

(f) Income tax

Significant judgement is involved in determining the provision for income tax. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

4. REVENUE

	1/1/2024 to 31/12/2024 US$	14/12/2022 (date of incorporation) to 31/12/2023 US$
Type of good or service		
Sales of goods	7,779,529	489,395
Inspection of helium tanks	72,919	-
	7,852,448	489,395
Timing of transfer of good or service		
At a point in time	7,852,448	489,395

5. OTHER INCOME

	1/1/2024 to 31/12/2024 US$	14/12/2022 (date of incorporation) to 31/12/2023 US$
Foreign currency gain	-	383
Interest income	68,134	18,485
Rental income	626,260	-
Miscellenous income	179	-
	694,573	18,868

6. PROFIT/(LOSS) BEFORE TAX

Profit/(Loss) before tax has been arrived at after charging:

	1/1/2024 to 31/12/2024 US$	14/12/2022 (date of incorporation) to 31/12/2023 US$
Allowance for expected credit loss	35,444	11,312
Consulting fee	16,711	35,198
Compensation	55,657	-
Depreciation of plant and equipment	436,306	-

6. PROFIT/(LOSS) BEFORE TAX (CONT'D)

Profit/(Loss) before tax has been arrived at after charging: (cont'd)

	1/1/2024 to 31/12/2024 US$	14/12/2022 (date of incorporation) to 31/12/2023 US$
Directors' remuneration:		
- Salaries	551,126	18,087
- Bonuses	74,739	18,201
Foreign exchange loss	152,600	-
Stamp duty	23,455	-
Withholding tax expense	55,601	-

7. INCOME TAX EXPENSE

The major components of income tax expense recognised in profit or loss for the financial year/period ended 31 December 2024 and 2023 were:

	1/1/2024 to 31/12/2024 US$	14/12/2022 (date of incorporation) to 31/12/2023 US$
Current income tax		
- Current year	8,070	92
- Over-provision in respespect of prior year	(74)	-
- Deferred tax temporary difference (Note 11)	(7,948)	-
Income tax expense recognised in profit or loss	48	92

7. INCOME TAX EXPENSE (CONT'D)

Relationship between tax expense and accounting profit/(loss)

A reconciliation between tax expense and the product of accounting profit/(loss) multiplied by the applicable corporate tax rate for the financial year/period ended 31 December 2024 and 2023 were as follows:

	1/1/2024 to 31/12/2024 US$	14/12/2022 (date of incorporation) to 31/12/2023 US$
Profit/(Loss) before tax	341,435	(10,521)
Income tax using the statutory rate of 17%	58,044	(1,789)
Adjustments:		
- Non-deductible expenses	93,457	1,998
- Income not subject to tax	-	(65)
- Utilise of capital allowance	(136,857)	-
- Statutory exemption	(6,109)	(52)
- CIT rebate	(465)	-
- Deferred tax temporary difference (Note 11)	(7,948)	-
- Over-provision in respect of prior year	(74)	
Income tax expense recognised in profit or loss	48	92

The Singapore Government has announced that for Year of Assessment (YA) 2025 and 2024, all companies will receive a 50% (2023: 50%) Corporate Income Tax (CIT) Rebate that is subject to a cap of S$40,000.

8. PLANT AND EQUIPMENT

	Helium tanks US$	Helium tanks in progress US$	Total US$
Cost			
At 31 December 2023 and 1 January 2024	-	-	-
Additions	6,520,718	50,000	6,570,718
At 31 December 2024	6,520,718	50,000	6,570,718
Accumulated depreciation			
At 31 December 2023 and 1 January 2024	-	-	-
Depreciation charge for the financial year	436,306	-	436,306
At 31 December 2024	436,306	-	436,306
Carrying amount			
At 31 December 2024	6,084,412	50,000	6,134,412
At 31 December 2023	-	-	-

9. INVESTMENT IN A SUBSIDIARY

	2024 US$	2023 US$
Unquoted equity shares, at cost	4,080,000	4,080,000

Details of subsidiary are as follows:

Name of subsidiary	Principal activities	Place of incorporation	Percentage of equity held 2024 %	Percentage of equity held 2023 %
# Jinhong Gas (Vietnam) Co., Ltd	Wholesale trading	Vietnam	51	51

Not acting as auditor

10. LOAN TO A SUBSIDIARY

Loan to a subsidiary is non-trade in nature, unsecured and recoverable by 18 December 2027.

The borrowing interest rate is based on a floating overnight rate. The interest rate for the loan is determined on the business day prior to the actual drawdown date, with the USD (SOFR) 4.3% per annum serving as the pricing benchmark. The interest is adjusted once every 12 months.

11. DEFERRED TAX ASSETS

Movements in deferred tax assets during the financial year were as follows:

	1 January 2024 US$	Recognised in profit or loss (Note 7) US$	At 31 December 2024 US$
Differences in ECL provision for tax purposes	-	7,948	7,948

12. INVENTORIES

	2024 US$	2023 US$
Statement of financial position:		
Goods in transit	43,237	372,705
Statement of profit or loss:		
Inventories recognised as an expense in cost of sales	6,783,570	428,844

13. TRADE RECEIVABLES AND CONTRACT ASSETS

	2024 US$	2023 US$
Trade receivables	935,113	227,671
Less: Allowance for expected credit losses	(46,756)	(11,312)
	888,357	216,359
Contract assets		
- Accrued revenue	-	218,160
	888,357	434,519

As part of the process of setting customer credit limits, different credit terms are used. Trade receivables are non-interest bearing and generally on 30-90 days' terms.

Contract assets arise from accrued revenue relates to the revenue recognised to date but has not been invoice to the customer as at the financial year end and was transferred to trade receivables at the point when it is invoiced to the customers.

The movement in allowance for expected credit losses of trade receivables computed based on lifetime ECL was as follows:

	2024 US$	2023 US$
1 January	11,312	-
Allowance for expected credit losses	46,756	11,312
Reversal for expected credit losses	(11,312)	-
31 December	46,756	11,312

Trade receivables and contract assets are denominated in the following currencies

	2024 US$	2023 US$
United States Dollar	(10,620)	9,118
Renminbi	898,977	264,247
Euro	-	161,154
	888,357	434,519

13. TRADE RECEIVABLES AND CONTRACT ASSETS (CONT'D)

Trade receivables and contract assets is unsecured and the balances is not past due and not impaired at the end of the reporting period.

14. OTHER ASSETS

	2024 US$	2023 US$
Current		
Advances	9,533,738	10,643,555
Prepayments	74,154	-
	9,607,892	10,643,555
Non-current		
Prepayments	529,724	-
Total	10,137,616	10,643,555

Advances are deposit payment for purchase of equipment.

Other assets are denominated in following currencies:

	2024 US$	2023 US$
Euro	6,420,363	9,536,658
Renminbi	1,106,897	1,106,897
United States Dollar	2,610,356	-
	10,137,616	10,643,555

15. AMOUNT DUE FROM A RELATED COMPANY

Amount due from a related company is non-trade in nature, unsecured, interest free and expected to be recovered by 5 March 2025.

Amounts due from a related company is denominated in following currencies:

	2024 US$	2023 US$
Thai Baht	3,108,000	-
United States Dollar	15,000	-
	3,123,000	-

16. CASH AT BANK

Cash at bank are denominated in following currencies:

	2024 US$	2023 US$
Euro	230	-
Renminbi	475,596	8,387
Singapore Dollar	5,284	4,514
United States Dollar	3,133,501	1,486,881
	3,614,611	1,499,782

17. SHARE CAPITAL

	2024 US$	2023 US$
Issued and fully paid		
24,080,000 (2023: 16,000,000) ordinary shares	20,080,000	11,100,000

During the past financial period, the Company issued 16,000,000 ordinary shares for a cash consideration of US$11,100,000 to incorporate the Company.

During the financial year, the Company issued 8,080,000 ordinary shares for a cash consideration of US$8,980,000 as additional working capital.

The holder of ordinary shares is entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. Ordinary shares have no par value.

18. CAPITAL RESERVED

During the past financial period, the Company made a cash reserved for US$3,580,000 to cover the Company's unexpected future expenses.

During the financial year, the Company has transferred the capital reserved to issue ordinary shares as additional working capital.

19. TRADE PAYABLES AND CONTRACT LIABILITIES

	2024 US$	2023 US$
Trade payables		
- Ultimate holding company	1,127,090	223,322
- Third party	66,785	-
	1,193,875	223,322
Contract liabilities		
- Advances from customer	147,725	312,871
	1,341,600	536,193

19. TRADE PAYABLES AND CONTRACT LIABILITIES (CONT'D)

Trade payables are non-interest bearing and normally settled on 30 to 90 days' terms.

Contract liabilities relate to the Company's obligation to provide goods to customers for which the Company has received advances from customers for sale of gas related goods. Contract liabilities are recognised as revenue at the point when it is invoiced to the customers upon the transfer of significant risks and rewards of ownership of the goods to the customers.

Trade payables and contract liabilities are denominated in the following currencies:

	2024 US$	2023 US$
United States Dollar	711,945	342,841
Renminbi	629,655	193,352
	1,341,600	536,193

20. OTHER PAYABLES AND ACCRUALS

	2024 US$	2023 US$
Other payable	20,000	20,000
Accruals	138,266	32,610
Deposits	36,000	-
Accrued costs	48,116	573,079
Deferred income - non-trade	5,222,060	-
	5,464,442	625,689

Other payables are unsecured, interest free and repayable on demand.

Deferred income related to the Company's obligation to lease assets to customer for which the Company had received advance from customer for rental of helium tanks. Deferred income was recognised as rental income on a straight-line basis over the lease term.

Other payables and accruals are denominated in the following currencies:

	2024 US$	2023 US$
United States Dollar	1,716,116	593,079
Singapore Dollar	138,266	32,610
Renminbi	3,610,060	-
	5,464,442	625,689

21. AMOUNT DUE TO A RELATED COMPANY

Amount due to a related company is non-trade in nature, unsecured, interest free and repayable on demand.

22. AMOUNT DUE TO ULTIMATE HOLDING COMPANY

Amount due to ultimate holding company is non-trade in nature, unsecured, interest free and repayable on demand.

Amount due to ultimate holding company is denominated in the following currencies:

	2024 US$	2023 US$
United States Dollar	23,498	-
Renminbi	663,815	-
	687,313	-

23. AMOUNT DUE TO A SUBSIDIARY

Amount due to a subsidiary was non-trade in nature, interest-free and repayable on demand.

24. SIGNIFICANT RELATED PARTY TRANSACTIONS

A related party is defined as follows:

(a) A person or a close member of that person's family is related to the Company, if that person:

- (i) has control or joint control over the Company;
- (ii) has significant influence over the Company; or
- (iii) is a member of the key management personnel of the Company or of a parent of the Company.

(b) An entity is related to the Company if any of the following conditions applies:

- (i) The entity and the Company are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others);
- (ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member);
- (iii) Both entities are joint venture of the same third party;
- (iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity;
- (v) The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company. If the Company is itself such a plan, the sponsoring employers are also related to the Company;
- (vi) The entity is controlled or jointly controlled by a person identified in (a);
- (vii) A person identified in (a) (i) has significant influence over the entity or is a member of the key management personnel of the entity (or of the parent of the entity); and
- (viii) The entity, or a member of a group of which it is a part, provides key management personnel services to the Company or to the parent of the Company.

24. SIGNIFICANT RELATED PARTY TRANSACTIONS (CONT'D)

In addition to the related party information disclosed elsewhere in the financial statements, the following transactions with related parties took place at terms mutually agreed during the financial year are as follows:

	1/1/2024 to 31/12/2024 US$	14/12/2022 (date of incorporation) to 31/12/2023 US$
Ultimate holding company		
Revenue	2,494,892	-
Purchase	4,528,488	428,844
Rental income	626,260	-
Subsidiary		
Interest income	2,121	-
Related company		
Acquisition of plant and equipment	6,520,718	-
Key management personnel compensation		
Directors' remuneration		
- Salaries	551,126	18,087
- Bonuses	74,739	18,201

25. FINANCIAL RISK MANAGEMENT

The Company's activities expose it to a variety of financial risks from its operations. The key financial risk includes market risk (including foreign currency risk and interest rate risk), credit risk and liquidity risk.

The directors review and agree policies and procedures for the management of these risks, which are executed by the management team. It is and has been throughout the current financial period, the Company's policy that no trading in derivatives for speculative purposes shall be undertaken.

The following sections provide the details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risks.

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in a loss to the Company. The Company's exposure to credit risk arises primarily from trade receivables and contract assets. For other financial assets (including cash and cash equivalents), the Company minimises credit risk by dealing exclusively with high credit rating counterparties.

The Company has adopted a policy of only dealing with creditworthy counterparties. The Company performs ongoing credit evaluation of its counterparties' financial condition and generally do not require a collateral.

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period.

The Company has determined the default event on a financial asset to be when internal and/or external information indicates that the financial asset is unlikely to be received, which could include default of contractual payments due for more than 90 days, default of interest due for more than 90 days or there is significant difficulty of the counterparty.

To minimise credit risk, the Company has developed and maintained the Company's credit risk gradings to categorise exposures according to their degree of risk of default. The credit rating information is supplied by publicly available financial information and the Company's own trading records to rate its major customers and other debtors. The Company considers available reasonable and supportive forward-looking information which includes the following indicators:

- Internal credit rating
- External credit rating
- Actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations
- Actual or expected significant changes in the operating results of the debtor
- Significant increases in credit risk on other financial instruments of the same debtor
- Significant changes in the expected performance and behaviour of the debtor, including changes in the payment status of debtors in the group and changes in the operating results of the debtor.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than 30 days past due in making contractual payment.

The Company determined that its financial assets are credit-impaired when:

- There is significant difficulty of the debtor
- A breach of contract, such as a default or past due event
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- There is a disappearance of an active market for that financial asset because of financial difficulty

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Credit risk (cont'd)

The Company categorises a receivable for potential write-off when a debtor fails to make contractual payments more than 120 days past due. Financial assets are written off when there is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery.

The Company's current credit risk grading framework comprises the following categories:

Category	Definition of category	Basis for recognising expected credit loss (ECL)
I	Counterparty has a low risk of default and does not have any past-due amounts.	12-month ECL
II	Amount is > 30 days past due or there has been a significant increase in credit risk since initial recognition.	Lifetime ECL - not credit - impaired
III	Amount is >60 days past due or there is evidence indicating the asset is credit-impaired (in default).	Lifetime ECL - credit - impaired
IV	There is evidence indicating that the debtor is in severe financial difficulty and has no realistic prospect of recovery.	Amount is written off

The table below details the credit quality of the Company's financial assets, as well as maximum exposure to credit risk by credit risk rating categories:

	Note	Category	12-month or lifetime ECL	Gross carrying amount	Loss allowance	Net carrying amount
				US$	US$	US$
31 December 2024						
Trade receivables and contract assets (Note 1)	13	II	Lifetime ECL	935,113	(46,756)	888,357
Amount due from a related company	15	I	12-month ECL	3,123,000	-	3,123,000
Loan to a subsidiary	10	I	12-month ECL	1,502,121	-	1,502,121

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Credit risk (cont'd)

	Note	Category	12-month or lifetime ECL	Gross carrying amount	Loss allowance	Net carrying amount
				US$	US$	US$
31 December 2023						
Trade receivables and contract assets (Note 1)	13	II	Lifetime ECL	445,831	(11,312)	434,519

Trade receivables and contract assets (Note 1)

For trade receivables and contract assets, the Company has applied the simplified approach in FRS 109 to measure the loss allowance at lifetime ECL. The Company determines the ECL by using a provision matrix, estimated based on historical credit loss experience based on the past due status of the debtors, adjusted as appropriate to reflect current conditions and estimates of future economic conditions. Accordingly, the credit risk profile of trade receivables is presented based on their past due status in terms of the provision matrix.

	Days past due			
	Not past due	Less than 30 days	31-60 days	Total
	US$	US$	US$	US$
31 December 2024				
ECL rate	5%	5%	5%	-
Trade receivables and contract assets	459,713	342,975	132,425	935,113
ECL	(22,986)	(17,149)	(6,621)	(46,756)
				888,357
31 December 2023				
ECL rate	3%	0%	0%	-
Trade receivables and contract assets	445,831	-	-	445,831
ECL	(11,312)	-	-	(11,312)
				434,519

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Credit risk (cont'd)

Excessive risk concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Company's performance to developments affecting a particular industry.

Exposure to credit risk

The Company has no significant concentration of credit risk. The Company has credit policies and procedures in place to minimise and mitigate its credit risk exposure.

Amount due from a related company and loan to a subsidiary

The Company assessed the latest performance and financial position of the counterparties, adjusted for the future outlook of the industry in which the counterparties operate in, and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial assets. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that there are no ECL.

(b) Liquidity risk

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligation due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipts cycles. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by credit facilities. The Company's operations are financed mainly through equity. The directors are satisfied that funds are available to finance the operations of the Company.

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(b) Liquidity risk (cont'd)

Analysis of financial instruments by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial assets and liabilities at the reporting date based on contractual undiscounted repayment obligations.

	2024		
	Carrying amount US$	Contractual cash flows US$	One year or less US$
Financial assets			
Trade receivables and contract assets	888,357	888,357	888,357
Amount due from a related company	3,123,000	3,123,000	3,123,000
Loan to a subsidiary	1,502,121	1,502,121	1,502,121
Cash at bank	3,614,611	3,614,611	3,614,611
Total undiscounted financial assets	9,128,089	9,128,089	9,128,089
Financial liabilities			
Trade payables and contract liabilities	(1,341,600)	(1,341,600)	(1,341,600)
Other payables and accruals	(243,382)	(243,382)	(243,382)
Amount due to a related company	(1,619,103)	(1,619,103)	(1,619,103)
Amount due to ultimate holding company	(687,313)	(687,313)	(687,313)
Total undiscounted financial liabilities	(3,891,398)	(3,891,398)	(3,891,398)
Total net undiscounted assets	5,236,691	5,236,691	5,236,691

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(b) Liquidity risk (cont'd)

Analysis of financial instruments by remaining contractual maturities (cont'd)

	2023		
	Carrying amount US$	Contractual cash flows US$	One year or less US$
Financial assets			
Trade receivables and contract assets	434,519	434,519	434,519
Cash at bank	1,499,782	1,499,782	1,499,782
Total undiscounted financial assets	1,934,301	1,934,301	1,934,301
Financial liabilities			
Trade payables and contract liabilities	(536,193)	(536,193)	(536,193)
Other payables and accruals	(625,689)	(625,689)	(625,689)
Amount due to a related company	(400,000)	(400,000)	(400,000)
Amount due to a subsidiary	(799,200)	(799,200)	(799,200)
Total undiscounted financial liabilities	(2,361,082)	(2,361,082)	(2,361,082)
Total net undiscounted liabilities	(426,781)	(426,781)	(426,781)

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(c) Market risk

Market risk is the risk that changes in market prices, such as interest rates and foreign exchange rates will affect the Company's income. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Foreign currency risk

The Company's foreign exchange risk results mainly from cash flows from transactions denominated in foreign currencies. At present, the Company does not have any formal policy for hedging against currency risk.

The Company has transactional currencies exposures arising on trade receivables and contract assets, other assets, amount due from a related company, cash at bank, trade payables and contract liabilities, other payables and accruals and amount due to ultimate holding company that are denominated in currencies other than the functional currency of the Company, primarily Euro ("EUR"), Singapore Dollar ("SGD"), Thai Baht ("THB") and Renminbi ("RMB").

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(c) Market risk (cont'd)

(i) Foreign currency risk (cont'd)

The Company's currency exposures to the EUR, SGD, THB and RMB at the reporting date were as follows:

	2024			
	EUR	SGD	RMB	THB
	US$	US$	US$	US$
Financial assets				
Trade receivables and contract assets	-	-	898,977	-
Other assets	6,420,363	-	1,106,897	-
Amount due from a related company	-	-	-	3,108,000
Cash at bank	230	5,284	475,596	-
	6,420,593	5,284	2,481,470	3,108,000
Financial liabilities				
Trade payables and contract liabilities	-	-	(629,655)	-
Other payables and accruals	-	(138,266)	(3,610,060)	-
Amount due to ultimate holding company	-	-	(663,815)	-
	-	(138,266)	(4,903,530)	-
Currency exposures	6,420,593	(132,982)	(2,422,060)	3,108,000

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(c) Market risk (cont'd)

(i) Foreign currency risk (cont'd)

	2023		
	EUR	SGD	RMB
	US$	US$	US$
Financial assets			
Trade receivables and contract assets	161,154	-	264,247
Other assets	9,536,658	-	1,106,897
Cash at bank	-	4,514	8,387
	9,697,812	4,514	1,379,531
Financial liabilities			
Trade payables and contract liabilities	-	-	(193,352)
Other payables and accruals	-	(32,610)	-
	-	(32,610)	(193,352)
Currency exposures	9,697,812	(28,096)	1,186,179

A 10% strengthening of Singapore Dollar against the foreign currencies denominated balances as at the reporting date would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

	Profit or loss (after tax)	
	2024	2023
	US$	US$
Euro	532,909	804,918
Singapore Dollar	(11,038)	(2,332)
Renminbi	(201,031)	98,453
Thai Baht	257,964	-

A 10% weakening of Singapore Dollar against the above currencies would have had equal but opposite effect on the above currency to the amounts shown above, on the basis that all other variables remain constant.

25. FINANCIAL RISK MANAGEMENT (CONT'D)

(c) Market risk (cont'd)

(ii) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of the Company's financial instruments will fluctuate because of changes in market interest rates. The Company's exposure to interest rates risk arises primarily from cash at bank.

The Company does not expect any significant effect on the Company's profit or loss arising from the effects of reasonably possible changes to interest rate on interest bearing financial instruments at the end of the financial year. Accordingly, sensitivity analysis is not disclosed.

26. FINANCIAL INSTRUMENTS BY CATEGORY

At the reporting date, the aggregate carrying amounts of financial assets at amortised cost and financial liabilities at amortised cost were as follows:

	2024 US$	2023 US$
Financial assets measured at amortised cost		
Trade receivables and contract assets (Note 13)	888,357	434,519
Amount due from a related company (Note 15)	3,123,000	-
Loan to a subdiary (Note 10)	1,502,121	-
Cash at bank (Note 16)	3,614,611	1,499,782
Total financial assets measured at amortised cost	9,128,089	1,934,301
Financial liabilities measured at amortised cost		
Trade payables and contract liabilities (Note 19)	1,341,600	536,193
Other payables and accruals (Note 20)	242,382	625,689
Amount due to a related company (Note 21)	1,619,103	400,000
Amount due to ultimate holding company (Note 22)	687,313	-
Amount due to a subsidiary (Note 23)	-	799,200
Total financial liabilities measured at amortised cost	3,890,398	2,361,082

27. CAPITAL COMMITMENTS

	2024 US$	2023 US$
Capital expenditure contracted but not provided for		
- Commitments for the acquisition of plant and equipment	2,622,366	2,662,366

28. FAIR VALUE OF ASSETS AND LIABILITIES

Assets and liabilities not measured at fair value

Cash at bank, other assets, amount due from a related company, other payables and accruals, amount due to a related company, amount due to ultimate holding company and amount due to a subsidiary

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

Trade receivables and contract assets and trade payables and contract liabilities

The carrying amounts of these balances approximate their fair values as they are subject to normal trade credit terms.

Loan to a subsidiary

The carrying amounts of this balance approximate their fair values as they are subject to interest rate of interests for similar arrangements with financial institutions.

29. CAPITAL MANAGEMENT

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholder's value. The capital of the Company comprised issued share capital and retained earnings.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company adjusts the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes for the financial year ended 31 December 2024 and financial period from 14 December 2022 (date of incorporation) to 31 December 2023.

The Company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including trade payables and contract liabilities, other payable and accruals, amount due to a related company, amount due to ultimate holding company and amount due to a subsidiary) less cash and cash equivalents. Total capital is calculated as total equity as shown in the statement of financial position, plus net debts.

No specific gearing ration has been determined by management with the overall objective tp keep the ratio as low as possible.

29. CAPITAL MANAGEMENT (CONT'D)

The gearing ratios at financial year/period ended 31 December 2024 and 2023 was as follows:

	2024 US$	2023 US$
Net debts	5,497,847	861,300
Total equity	20,410,774	14,669,387
Total capital	25,908,621	15,530,687
Gearing ratio	0.21	0.06

The Company is not subject to any externally imposed capital requirements.

The Company's overall strategy remains consistent with last financial period.

30. AUTHORISATION OF FINANCIAL STATEMENTS FOR ISSUE

The financial statements for the financial year ended 31 December 2024 were authorised for issue in accordance with a resolution of the Directors of the Company on 30 June 2025.